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Example

The trial balance prepared on 31st December, 2016 shows Capital of ` 5,00,000.
Adjustment: Provide interest on capital @ 4% p.a.

Interest on capital = ` 5,00,000 × 4/100 = ` 20,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Interest on capital A/c	Dr.		20,000	
Dec. 31	To Capital A/c				20,000
	(Interest on capital provided)				

Transfer entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Profit and Loss A/c	Dr.		20,000	
Dec. 31	To Interest on capital A/c				20,000
	(Interest on capital transferred)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Interest on capital		20,000			

Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	Debit `	Credit `
Capital	5,00,000				
Add: Interest on Capital	20,000	5,20,000			

(vii) Interest on drawings

Drawings represent the amount or goods withdrawn by the proprietor from the business for his personal use. As business is separate from owner, interest charged on drawings, if any, is to be treated as business income.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Capital A/c	Dr.		xxx	
To Interest on drawings A/c				xxx
(Interest on drawings provided)				